

Geopolitics continue to drive global rates markets: Bond markets rally on growing Iran de-escalation hopes

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Summary

Summary	2
Market Overview	3
 US	4
<i>Major Economic Data Releases.....</i>	<i>4</i>
<i>Macro Developments & Key Indicators</i>	<i>4</i>
<i>Rates Curve Movements.....</i>	<i>4</i>
<i>Trade ideas</i>	<i>5</i>
 Canada	6
<i>Major Economic Data Releases.....</i>	<i>6</i>
<i>Macro Developments & Key Indicators</i>	<i>6</i>
<i>Rates Curve Movements.....</i>	<i>6</i>
 EU.....	7
<i>Major Economic Data Releases.....</i>	<i>7</i>
<i>Macro Developments & Key Indicators</i>	<i>7</i>
<i>Rates Curve Movements.....</i>	<i>8</i>
<i>Trade ideas</i>	<i>8</i>
 UK	9
<i>Major Economic Data Releases.....</i>	<i>9</i>
<i>Macro developments & Key Indicators.....</i>	<i>9</i>
<i>Rates curve movements</i>	<i>9</i>
<i>Trade ideas</i>	<i>9</i>
 Japan.....	10
<i>Major Economic Data Releases.....</i>	<i>10</i>
<i>Macro developments & Key Indicators.....</i>	<i>10</i>
<i>Rates curve movements</i>	<i>10</i>
<i>Trade ideas</i>	<i>10</i>
Appendix	11

Market Overview

Last week, global bond markets continued to be primarily driven by geopolitical developments in the Middle East. Sovereign yields generally moved lower as investors increasingly priced in a de-escalation of the conflict between the United States and Iran, as well as a potential reopening of the Strait of Hormuz.

Following a strong bond rally at the beginning of the week, triggered by encouraging comments regarding negotiations between Washington and Tehran, markets briefly reversed course on Tuesday after renewed U.S. strikes against Iran. However, this setback did not alter the prevailing market narrative, with investors continuing to place significant weight on the numerous reports and statements suggesting progress toward a ceasefire agreement. As a result, bond markets remained highly sensitive to any news related to U.S.-Iran negotiations, which constituted the primary market driver throughout the week.

Meanwhile, inflation releases once again reflected the impact of higher energy prices observed since the beginning of the conflict. Across both Europe and the United States, May inflation readings generally came in higher than in previous months, with Germany being the main exception. Nevertheless, these figures were broadly in line with market expectations and therefore did not represent a significant upside inflation surprise. As a result, they did not trigger an upward repricing of monetary policy expectations. On the contrary, growing hopes of a peace agreement and a normalization of the energy situation led investors to slightly reduce their expectations for further rate hikes by the major central banks.

Markets, along with key central bank officials, also appear increasingly focused on looking beyond the immediate energy shock and are paying greater attention to the potential second-round inflationary effects that could arise from a prolonged period of elevated energy prices. This concern was notably highlighted by several ECB and Federal Reserve officials, who stressed that persistent inflationary pressures could require monetary policy to remain restrictive despite improving prospects for a de-escalation of the conflict.

➤ **Major Economic Data Releases – Week of May 25**

Date	Indicator Name	Period	Reuters Poll	Actual	Prior
26 May	Consumer Confidence	May	92	93.1	92.8
28 May	Core PCE YoY	April	3.3%	3.3%	3.2%
28 May	PCE YoY	April	3.8%	3.8%	3.5%
28 May	GDP 2nd Estimate	Q1	2%	1.6%	2%
28 May	Initial Jobless Claims	18-23 April	211k	215k	209k

Source: Reuters

➤ **Macro Developments & Key Indicators**

Treasury yields declined over the week, with the market continuing to take its cue from developments in the Middle East and the resulting implications for energy prices and inflation expectations. However, investor attention increasingly shifted towards domestic macroeconomic data and the outlook for Fed policy.

Economic releases highlighted the difficult backdrop currently facing the U.S. economy. The final estimate of Q1 GDP came in weaker than expected, while both headline and core PCE inflation accelerated compared with the previous month. Although inflation remained broadly in line with market expectations, the combination of slowing growth and persistent price pressures revived stagflation concerns among investors.

Against this backdrop, several Fed officials, including Alberto Musalem, Lisa Cook and John Williams, reiterated that further policy tightening could still be required should inflation fail to moderate over the coming quarters. Policymakers also debated the potential inflationary impact of the ongoing AI investment cycle, with some officials warning that substantial spending on semiconductors, data centres and related infrastructure could add to near-term price pressures. These comments reinforced the view that the Fed is likely to maintain a restrictive policy stance for longer despite the recent decline in Treasury yields.

On the supply side, demand for Treasuries remained healthy. The \$44bn 7-year Treasury auction was met with slightly stronger-than-average demand, achieving a solid bid-to-cover ratio of 2.52 and highlighting investors' continued appetite for duration despite lingering inflation concerns.

➤ **Rates Curve Movements**

- The UST curve experienced an almost parallel shift lower from 2Y to 10Y, with yields down by roughly 11bps across the sector.
- Bull steepening in the 10s30s segment, with the spread widening by around 3bps.
- Slight richening in swap spreads across the curve.

➤ **Trade ideas**

I remain constructive on a **long US 10s30s steepener**.

While the conflict with Iran has revived concerns around higher energy prices and potential second-round inflation effects, the market appears unconvinced that these risks will materially alter the medium-term inflation outlook. The stability of the US 5y5y forward CPI breakeven, currently around 2.45%, suggests that long-term inflation expectations remain broadly anchored despite the geopolitical shock.

Looking ahead, there is a credible path toward a ceasefire in the coming days or weeks. Should tensions de-escalate, market focus is likely to shift back toward US fiscal fundamentals, namely the sustainability of public debt, persistent deficits and elevated Treasury issuance.

These concerns should continue to weigh disproportionately on the long end of the curve through a higher term premium. In addition, repeated attacks on Gulf infrastructure and a perceived lack of US support could encourage some Gulf states to gradually diversify their reserve allocations, potentially reducing a traditional source of structural demand for long-dated US Treasuries.

As a result, I continue to favour a long 10s30s steepener. While the trade implicitly assumes some degree of de-escalation in the Iran conflict, the core thesis is ultimately driven by the expected re-emergence of fiscal and term premium concerns, which should exert greater pressure on the 30Y sector than on the 10Y sector.

➤ **Major Economic Data Releases – Week of May 25**

Date	Indicator Name	Period	Reuters Poll	Actual	Prior
29 May	GDP QoQ Annualized	Q1	1.5%	-0.1%	-0.6%

Source: Reuters

➤ **Macro Developments & Key Indicators**

Canadian government bonds rallied over the week, broadly tracking the move observed in U.S. Treasuries as markets remained focused on developments in the Middle East and the prospect of a de-escalation of the conflict between the United States and Iran.

However, the Canadian curve outperformed its U.S. counterpart across all maturities, supported by significantly weaker-than-expected domestic economic data. Q1 annualized GDP contracted by 0.1%, well below market expectations of +1.5% and marking a sharp disappointment relative to consensus forecasts. The weaker growth backdrop reinforced expectations that the Bank of Canada may have limited scope to maintain a restrictive policy stance for an extended period, providing additional support to Canadian government bonds.

➤ **Rates Curve Movements**

- The Canada–UST spread tightened across the curve, narrowing by 3.2bps in the 2Y sector and 2.7bps in the 30Y sector.
- The Canadian 2s5s10s cash fly richened by 3 bps

➤ **Major Economic Data Releases – Week of May 25**

Date	Indicator Name	Period	Reuters Poll	Actual	Prior
28 May	PPI YoY (FRA)	April	N/A	2.1%	0.2%
28 May	Consumer Confidence	May	-19	-19	-19
29 May	GDP QoQ Final (FRA)	Q1	0%	-0.1%	0%
29 May	HICP YoY Prelim (FRA)	May	2.9%	2.8%	2.5%
29 May	CPI YoY Prelim (FRA)	May	2.5%	2.4%	2.2%
29 May	Unemployment Rate (GER)	May	6.4%	6.3%	6.4%
29 May	CPI YoY Prelim (GER)	May	2.9%	2.6%	2.9%
29 May	HICP YoY Prelim (GER)	May	2.8%	2.7%	2.9%

Source: Reuters

➤ **Macro Developments & Key Indicators**

Like other major bond markets, euro area government bonds benefited from improving sentiment surrounding the conflict between the United States and Iran. While renewed U.S. strikes briefly weighed on EGBs early in the week, hopes of a ceasefire agreement and a reopening of the Strait of Hormuz ultimately supported a decline in sovereign yields across the region.

Beyond geopolitics, investors are increasingly focused on the inflation implications of the energy shock. ECB Executive Board member Isabel Schnabel reiterated that the ECB should proceed with a rate hike in June even in the event of a peace agreement, arguing that the magnitude and persistence of the energy shock could generate significant second-round effects and keep inflationary pressures elevated. While markets continue to fully price a rate hike at the next ECB meeting, concerns regarding the impact of higher energy prices on inflation remain balanced against an already fragile euro area growth outlook.

Inflation data released during the week painted a mixed picture across the region. While May inflation remained above the ECB's 2% target in the major euro area economies, country-level releases were mixed relative to expectations. German inflation surprised slightly to the downside, whereas Spanish and Italian figures exceeded forecasts, while French inflation came in below expectations despite edging higher on a monthly basis. Overall, the data had only a limited impact on market pricing and did not trigger any meaningful hawkish repricing. Despite inflation remaining elevated, markets slightly reduced their expectations for further ECB tightening, with around 60bps of additional rate hikes now priced by year-end compared with nearly 80bps two weeks ago.

Peripheral debt outperformed core markets, with Italian government bonds benefiting the most from improving sentiment surrounding the Middle East. Given Italy's relatively high sensitivity to energy prices due to its dependence on gas imports, BTPs outperformed the broader EGB complex as markets increasingly priced in a potential normalization of energy supply conditions. Investor demand remained strong, as illustrated by Italy's successful €10.5bn bond auction, where both 5-year and 10-year BTPs were issued at their lowest yields in several months.

➤ **Rates Curve Movements**

- German Bund yields moved 10bps lower, while the German 2s30s curve bull steepened by 2.8bps
- The 2Y BTP-Schatz spread tightened by 3bps, while the 2Y PGB-Schatz spread narrowed by 1.5bps
- Swap spreads cheapened across the front end and belly of the curve (Bobl swap spread -2.7bps), while richening at the long end (Buxl swap spread +1.6bps).

➤ **Trade ideas** (*own trade ideas*)

- 1) The **long Spain 10Y vs short Belgium 10Y** trade has performed well so far, with Spanish bonds continuing to outperform on the back of stronger fundamentals and a supportive supply-demand backdrop. Given the move already achieved and the compression in spreads, I would now take profit and close the position.
- 2) The view that the market was pricing too much ECB tightening has also played out constructively. While the ECB remains vigilant on inflation, the ongoing slowdown in Eurozone growth and the still-limited evidence of second-round inflation effects could continue to favour a less aggressive ECB policy path. I therefore maintain the recommendation to **receive €STR Dec-26 OIS** (or remain **long Dec-26 €STR futures**), although the scope for further repricing is likely more limited than a few weeks ago. Additional downside in terminal rate expectations could still materialise if upcoming data continues to show contained wage and inflation dynamics and if the emerging peace agreement proves durable.

➤ Major Economic Data Releases – Week of May 25

Date	Indicator Name	Period	Reuters Poll	Actual	Prior
No Major economic data released					

Source: Reuters

➤ Macro developments & Key Indicators

Like other major sovereign bond markets, Gilts benefited from improving sentiment surrounding the conflict between the United States and Iran, with hopes of a ceasefire agreement and a reopening of the Strait of Hormuz supporting a broad decline in yields over the week.

In contrast to some of recent weeks, domestic fiscal concerns and political uncertainty were largely overshadowed by geopolitical developments and their implications for energy prices and inflation expectations. As investors grew increasingly optimistic about a potential normalization in energy supply conditions, attention shifted away from domestic political themes and towards the prospect of lower energy costs and easing inflationary pressures.

The UK was among the main beneficiaries of this shift in sentiment. Similar to Italy within the euro area, the gilt market displayed a relatively high beta to developments in the Middle East given the economy's sensitivity to energy prices. As a result, Gilts outperformed several of their developed market peers during the week.

However, this outperformance was not uniform across the curve. While fiscal and political concerns were no longer the primary drivers of market direction, neither were they completely ignored by investors. Consequently, the long end of the gilt curve continued to underperform on a cross-market basis, reflecting the lingering impact of the UK's fiscal challenges despite the broader rally in global rates markets.

➤ Rates curve movements

- Cross-market outperformance of the front end and belly of the Gilt curve, with the 5Y Gilt-Bobl spread narrowing by 2.7bps, while the 30Y Gilt-Buxl spread widened by 1.6bps.
- Swap spreads cheapened across the curve, with the move particularly pronounced at the front end, where the 2Y Gilt swap spread tightened by 5.3bps.
- The swap 2s10s30s fly cheapened by 4.1bps

➤ Trade ideas

Long-end Gilts outperformed swaps this week, with the 30Y asset swap spread tightening by around 2.3bps. In my view, this move appears difficult to reconcile with the UK's underlying fiscal backdrop, which remains a source of concern for investors.

Questions around fiscal sustainability have not disappeared and political uncertainty remains elevated. In particular, the possibility of a future shift within the Labour Party toward a more left-leaning leadership could lead markets to reassess the credibility of the government's fiscal framework. Such an outcome would likely raise expectations of higher borrowing needs and increased long-end Gilt supply. Against this backdrop, I would expect the long end of the Gilt curve to remain under pressure, making the recent outperformance of cash Gilts versus swaps look somewhat stretched. As a result, I favour a **short 30Y Gilt asset swap position**, looking for a reversal of part of this week's richening.

➤ **Major Economic Data Releases – Week of May 25**

Date	Indicator Name	Period	Reuters Poll	Actual	Prior
29 May	Core CPI Tokyo	May	1.5%	1.3%	1.5%
29 May	CPI Tokyo	May	N/A	1.4%	1.5%
29 May	Unemployment Rate	April	2.7%	2.5%	2.7%

➤ **Macro developments & Key Indicators**

Japanese government bonds rallied over the week alongside other major sovereign bond markets, benefiting from the broader decline in global yields driven by growing optimism surrounding a potential ceasefire agreement between the United States and Iran. However, performance across the curve was uneven, with both the short and long ends underperforming relative to the belly.

At the front end, the absence of any clear signal from Bank of Japan Governor Kazuo Ueda regarding a potential rate hike at the June meeting, together with softer-than-expected Tokyo CPI data, would normally have favoured a stronger rally. However, this was partly offset by a stronger labour market backdrop, with April unemployment declining both relative to the previous month and market expectations. As a result, the short end underperformed the intermediate sector as investors remained reluctant to fully rule out further policy normalization by the BoJ.

Meanwhile, the long and ultra-long sectors were supported by strong month-end portfolio rebalancing flows and duration extension demand. In addition, Prime Minister Sanae Takaichi sought to reassure investors by stating that the supplementary budget being prepared in response to the prolonged conflict in the Middle East would not result in an increase in overall government bond issuance, with additional spending expected to be financed through stronger tax revenues and adjustments to the existing issuance plan. Nevertheless, these supportive factors were only partially able to offset lingering concerns surrounding Japan's fiscal outlook and the potential financing requirements associated with future policy measures, including a possible reduction in consumption taxes. Consequently, while the long end participated in the broader rally, it continued to underperform the belly of the curve, resulting in a renewed steepening bias towards the end of the week.

➤ **Rates curve movements**

- Cross-market underperformance of the JGB curve at the front end versus Germany, but outperformance at the long end, with the JGB-Schatz spread widening by 3.7bps and the JGB-Buxl spread narrowing by 0.6bps.
- Bear flattening in the 2s10s segment of the JGB curve (-3.8bps), alongside a steepening of the 10s30s curve (+2.3bps).
- The 10Y JGB asset swap spread widened by 1.3bps.

➤ **Trade ideas**

The short 30Y JGB asset swap trade has not performed as expected so far, with cash bonds outperforming swaps since the recommendation was initiated. In hindsight, the entry point proved premature.

That said, I continue to see value in the trade. Japan's fiscal backdrop remains challenging, with persistent concerns around the country's debt dynamics and funding needs. These structural factors should continue to exert pressure on long-dated cash JGBs relative to swaps over the medium term.

While market positioning and technical factors have temporarily supported the long end of the cash curve, I do not believe the underlying fundamental story has materially changed. As a result, I maintain a bearish view on 30Y JGB asset swaps and continue to expect cash bonds to underperform swaps going forward.

Appendix

All figures referenced in the commentary are sourced from Reuters, primarily via the Excel file presented below, which is linked using Reuters formulas. As this is based on the student version of the Reuters Terminal, some quotations may be slightly inaccurate, particularly within the European core and semi-core segments. As a result, movements in the yield curves (2Y, 5Y, 10Y, 30Y) may occasionally appear strange.

Data corresponds to bid prices as of market closing on Friday, May 25 and Friday, May 29.

Market-implied central bank rate hikes:

Data based on OIS rates from Reuters as of Monday, June 1

US: Fed Funds

IMPLIED RATES & BASIS POINTS			
Meeting Date	Implied Rate	Basis Points	
17-Jun-2026	+3.618	-0.9	
29-Jul-2026	+3.643	1.5	
16-Sep-2026	+3.691	6.3	
28-Oct-2026	+3.713	8.5	
09-Dec-2026	+3.790	16.2	

UE: ESTR

IMPLIED RATES & BASIS POINTS			
	Meeting Date	Implied Rate	Basis Points
	11-Jun-2026	+2.1705	+24.0200
	23-Jul-2026	+2.2584	+32.8000
	10-Sep-2026	+2.3770	+44.6600
	29-Oct-2026	+2.4578	+52.7400
	17-Dec-2026	+2.5158	+58.5400

CA: CORRA

IMPLIED RATES & BASIS POINTS			
	Meeting Date	Implied Rate	Basis Points
	10-Jun-2026	+2.2706	+1.2000
	15-Jul-2026	+2.2870	+2.8400
	02-Sep-2026	+2.3594	+10.0700
	28-Oct-2026	+2.4234	+16.4800
	09-Dec-2026	+2.5650	+30.6400

GB: SONIA

IMPLIED RATES & BASIS POINTS				
	Meeting Date	Implied Rate	Basis Points	
	18-Jun-2026	+3.7502	+2.0400	
	30-Jul-2026	+3.8304	+10.0600	
	17-Sep-2026	+3.9183	+18.8500	
	05-Nov-2026	+4.0349	+30.5100	
	17-Dec-2026	+4.0766	+34.6800	

Japan: TONAR

IMPLIED RATES & BASIS POINTS				
	Meeting Date	Implied Rate	Basis Points	
	16-Jun-2026	+0.9057	+17.8800	
	31-Jul-2026	+0.9536	+22.6700	
	18-Sep-2026	+0.9972	+27.0300	
	30-Oct-2026	+1.0664	+33.9400	
	18-Dec-2026	+1.1489	+42.2000	